Revision Date:
01/01/2023

Background:
CalFresh household's (HH) may deduct dependent care costs from their income to determine CalFresh eligibility.

Purpose:
There has been no change in policy. This section is being updated due to sunset review.

Policy:
The dependent care deduction is the actual amount the HH pays for care for another HH member that is under the age of 18 or is of any age and incapacitated requiring care. For dependent care deductions only, incapacitation is defined as any permanent or temporary condition that prevents the individual from participating in normal activities including, but not limited to, work or school without supervision to ensure the health and safety of the individual, or a condition that makes a lack of supervision risky to the health and safety of the individual.

The HH is eligible to deduct the dependent care expenses from their income if dependent care is necessary for a HH member to search for employment, accept or continue employment, comply with the CalFresh Employment and Training (CFET) requirements, attend training, or pursue education to prepare for employment. There is no cap on the amount of dependent care that may be deducted from the HH's income. A client statement must be accepted as standard verification unless the information provided is questionable.

1. Allowable Dependent Care Expenses

Dependent care expenses are only deductible if the service is provided by someone outside the CalFresh HH and the HH makes an out-of-pocket payment for the service. The following expenses are allowable as dependent care expenses:

- The costs of care provided by an individual, provider, or care facility
- Transportation costs to and from the care facility (standard Internal Revenue Service [IRS] mileage rate may be used)
- Fees associated with activities that are necessary for the dependent to participate in the care

Example:	
Scenario	CalFresh HH consisting of mom, her 2 children ages 9 and 4. Mom and the children live with grandma but do not purchase and prepare meals with her. Mom is attending vocational school to become a medical assistant. Grandma cares for the 4-year-old (y/o) while mom is at school and mom pays grandma $400 per month.
Outcome	HH would be allowed a dependent care deduction of $400 per month since grandma is not part of the CalFresh HH.

Note: Preschool or any other type of schooling is not considered a dependent care expense.

2. When Dependent Care Deduction is not allowed

A dependent care deduction is not allowed to be claimed if another member of the CalFresh HH provides the care or when compensation for the care is provided in the form of an in-kind benefit. The dependent care deduction will not include any amount that is covered by a subsidy or paid for by another source on behalf of the HH.

Example:	
Scenario	CalFresh HH consisting of mom and 3 children ages 11, 9, and 4. Mom is attending vocational school to become a medical assistant. The 4 y/o goes to a licensed daycare center and the total cost is $1200 per month. Mom receives a $1000 monthly subsidy for the childcare.
Outcome	The non-reimbursed share of cost for the childcare is $200 ($1200 total cost - $1000 subsidy) therefore the HH would be allowed a dependent care deduction of $200.

Example:	
Scenario	CalFresh HH consisting of mom, her 2 children ages 9 and 4 and grandma. Mom is attending vocational school to become a medical assistant. Grandma cares for the 4 y/o while mom is at school and mom pays grandma $400 per month.
Outcome	A dependent care deduction would not be allowed since grandma is a member of the CalFresh HH.

3. Dependent Care Expenses that May Qualify as Medical Expenses

Certain dependent care expenses may qualify as either a medical expense or dependent care expense. These expenses may be counted as either, but not counted as both. Staff must classify the expenses as medical or dependent care depending on which one is more favorable to the HH. Refer to Section 63-232 for more information on Medical Deductions.

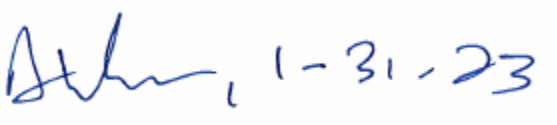
References:

MPP 63-502.34, CFR 273.9(d)(4), ACL 13-102, ACL 17-98, ACL 20-135

Sunset Date:

This policy will be reviewed for continuance on or by 01/31/2026.

Approval for Release:



Rick Wanne, Director
Self-Sufficiency Services